

Supply-side policy lesson 3 - 4.4.2

Market-based supply-side policies

市场型供给侧政策

Tax cuts, privatisation and deregulation



Business investment in new machinery

AI-generated classroom illustration

Recall last lesson

Make a list of four interventionist supply-side policies from last lesson.

Write your list on paper, then compare with a partner.

Recall last lesson

Make a list of four interventionist supply-side policies from last lesson.

Write your list on paper, then compare with a partner.

1 Education and training 教育与培训

2 Healthcare 医疗保健

3 Infrastructure 基础设施

4 Subsidies 补贴

Alex's bakery earns £100,000 before tax. A new oven costs £75,000. Could a tax cut from 30% to 20% make it affordable?

Assume no borrowing or other savings, and all after-tax profit is kept.

Two bakers preparing bread beside a large oven in a working bakery

Yasin Onuş / Pexels

Alex's bakery earns £100,000 before tax. A new oven costs £75,000. Could a tax cut from 30% to 20% make it affordable?

Assume no borrowing or other savings, and all after-tax profit is kept.

Possible answer

At 30%, tax is £30,000, leaving £70,000: £5,000 short. At 20%, tax is £20,000, leaving £80,000: enough for the £75,000 oven, with £5,000 left. The tax cut releases £10,000. Alex may invest if extra bread sales make the oven worthwhile.

税后利润从£70,000增加到£80,000，足以购买£75,000的烤箱；但是否投资仍取决于预期销量。

Yasin Onu / Pexels

By the end, you can

1

Classify market-based supply-side policies.

判断市场化供给侧政策。

2

Explain how tax cuts, privatisation and deregulation may raise efficiency.

解释减税、私有化和放松管制如何提高效率。

3

Evaluate risks such as inequality, weaker protection and uncertain investment.

评价不平等、保护减弱和投资不确定等风险。

Market-based supply-side policies

市场型供给侧政策

1 Market-based supply-side policies

2 Past paper questions

Market-based supply-side policies

TAX
30% → 20%
MORE TO INVEST

1. Tax incentives 税收激励

Lower direct taxes → greater rewards from work or investment.



2. Privatisation 私有化

Public assets sold to private owners → stronger profit incentives.



3. Deregulation 放松管制

Fewer entry barriers 准入壁垒 → more firms can compete.



4. Labour-market reform 劳动力市场改革

More flexible employment rules → lower costs or risks of hiring.

Check

Which measure is most clearly market-based supply-side policy?

- A** Deregulating a market to increase competition.
- B** Building a new government-funded road.
- C** Increasing public healthcare spending.
- D** Subsidising worker training directly.

Check

Which measure is most clearly market-based supply-side policy?

A Deregulating a market to increase competition.

B Building a new government-funded road.

C Increasing public healthcare spending.

D Subsidising worker training directly.

Market-based policies work through incentives, competition and flexibility.

Tax incentives: more profit available to invest

Alex's bakery • £100,000 profit before tax in both cases

30% corporation tax



Tax paid: £30,000

Profit kept: £70,000

£5,000 short of the oven

每个色块 = £10,000

20% corporation tax



Tax paid: £20,000

Profit kept: £80,000

Enough for the £75,000 oven

每个色块 = £10,000

£10,000 less tax → £10,000 more to invest

减税 → 更多可用于投资的税后利润



New oven

£75,000

Illustrative rates • All after-tax profit kept • No borrowing or other savings

Alex can now afford the oven. If bread sales are falling, should the bakery still buy it?

Two bakers preparing bread beside a large oven in a working bakery

Yasin Onuş / Pexels

Alex can now afford the oven. If bread sales are falling, should the bakery still buy it?

Possible answer

Not necessarily. The tax cut provides funds, but Alex must expect enough extra sales to justify the cost. Alex could keep the money as cash or distribute it to owners. A tax cut can encourage investment; it does not guarantee it.

UK corporation tax cuts

28% → 19%

The UK cut its main corporation tax rate between 2010/11 and 2017/18.



Two bakers preparing bread beside a large oven in a working bakery

Yasin Onuş / Pexels

Effect of a corporation tax cut

公司税减税的影响

1

**Government
reduces
corporation**



政府降低公司税



2

**Firms keep more
retained**



企业保留更多利润



3

**More funds may
support**



更多资金可能支持投资



4

**New capital may
raise productive**



新资本可能提高生产能力

Effect of a corporation tax cut

公司税减税的影响

1

Government
reduces
corporation

tax

政府降低公司税

>

2

Firms keep more
retained

profit

企业保留更多利润

>

3

More funds may
support

investment

更多资金可能支持投资

>

4

New capital may
raise productive

capacity

新资本可能提高生产能力

Check

When is a corporation tax cut most likely to raise productive capacity?

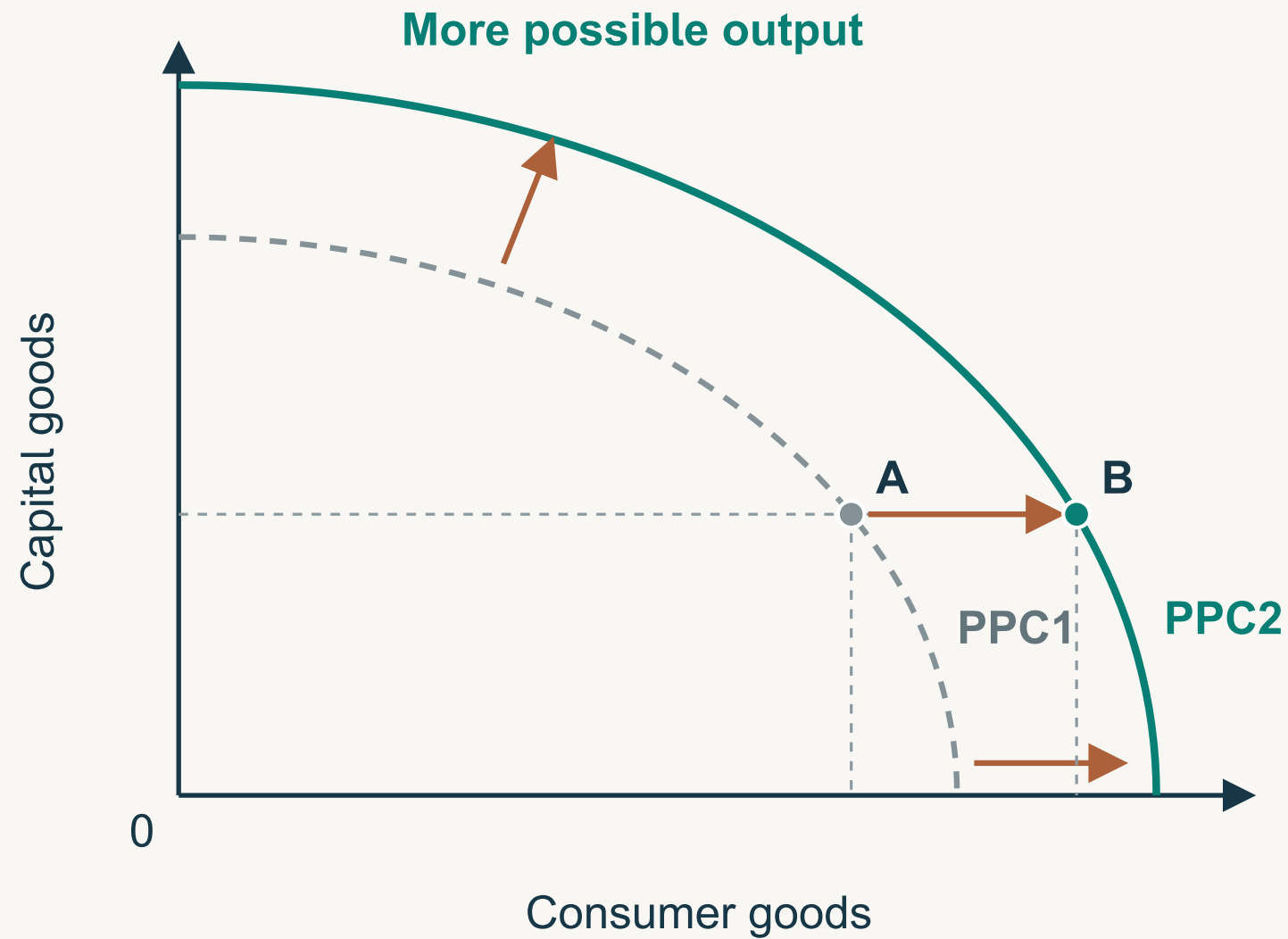
- A** Firms keep all extra profit as cash.
- B** Firms use extra retained profit to buy more effective machinery.
- C** Customers stop buying the firms' products.
- D** The tax cut changes no investment decisions.

Check

When is a corporation tax cut most likely to raise productive capacity?

- ☐ A Firms keep all extra profit as cash.
- ☒ B Firms use extra retained profit to buy more effective machinery.
- ☐ C Customers stop buying the firms' products.
- ☐ D The tax cut changes no investment decisions.

The investment improves capital and the economy's ability to produce. A tax cut alone does not guarantee that link.



Investment on a PPC

STEP 4 / 4

Read what the shift means

At the same output of capital goods, the economy can produce more consumer goods.

资本品产量不变时，经济体能生产更多消费品。

Higher capacity means more possible output; demand affects how much is used.

A state-owned bus company is sold to private owners. What changes: its ownership, its competition, or both?

A red double-decker bus at night in London; an illustration for a hypothetical ownership case

0x010C / Wikimedia Commons / CC BY-SA 4.0; resized

**A state-owned bus company is sold to private owners.
What changes: its ownership, its competition, or both?**

Possible answer

Its ownership changes from public to private: this is privatisation. Competition changes only if rival operators can enter or compete for routes. A sale could leave a private monopoly with little pressure to lower fares or improve service.

KEY TERM

Privatisation

私有化

DEFINITION

The sale or transfer of assets from the  to the .

将资产从公共部门出售或转移给私营部门。

public sector

公共部门

owned or controlled by government

private sector

私营部门

owned by individuals or firms

KEY TERM

Privatisation

私有化

DEFINITION

The sale or transfer of assets from the **public sector** to the **private sector**.

将资产从公共部门出售或转移给私营部门。

public sector

公共部门

owned or controlled by government

private sector

私营部门

owned by individuals or firms

Has privatisation happened?

- 1 The government sells a state-owned company to private investors.
- 2 A state-owned firm hires a new manager but remains state-owned.

Has privatisation happened?

1 The government sells a state-owned company to private investors.

Yes

Ownership moves from the public sector to the private sector.

2 A state-owned firm hires a new manager but remains state-owned.

No

The ownership has not transferred.

British Airways: privatisation in 1987

Ownership changes

所有权改变

Government ownership gave way to private shareholders.



Effect of privatisation

私有化的影响

1

Ownership moves
to the



sector

所有权转向私营部门



2

Owners seek higher



所有者追求更高利润



3

Managers may
reduce



管理者可能减少浪费



4

Output per input
may



每单位投入的产出可能增加

Effect of privatisation

私有化的影响

1

Ownership moves
to the
private
sector

所有权转向私营部门



2

Owners seek higher
profit

所有者追求更高利润



3

Managers may
reduce
waste

管理者可能减少浪费



4

Output per input
may **rise**

每单位投入的产出可能增加

Does private ownership guarantee efficiency?

- 1 A private monopoly always lowers prices for consumers.

Does private ownership guarantee efficiency?

1 A private monopoly always lowers prices for consumers.

No

Weak competition may allow high prices; stronger profit incentives do not guarantee benefits for consumers.

A town removes an unnecessary licence that stopped new bubble-tea shops opening. What might change for customers?

A Tapioca Express bubble tea shop in Alameda, California

Wikimedia Commons / Tony Webster

A town removes an unnecessary licence that stopped new bubble-tea shops opening. What might change for customers?

Possible answer

More shops may enter, increasing competition and choice. Existing shops may cut prices, improve quality or reduce waste to retain customers. Entry still depends on demand and costs. Food-safety rules should remain: deregulation need not remove useful protection.

KEY TERM

Deregulation

放松管制

DEFINITION

The  of government
 affecting firms.

取消或减少影响企业的政府规则和管制。

KEY TERM

Deregulation

放松管制

DEFINITION

The **removal or reduction** of government **rules and regulations** affecting firms.

取消或减少影响企业的政府规则和管制。

European airline deregulation

EU market completed in 1997

1997年完成市场开放

EU airlines gained access to domestic routes in other member states.



Effect of deregulation

放松管制的影响

1

Unnecessary entry barriers are



取消不必要的准入壁垒



2

More firms can



更多企业能够进入市场



3

Competition puts pressure on



竞争促使企业降低成本



4

Less waste may raise



减少浪费可能提高效率

Effect of deregulation

放松管制的影响

1

Unnecessary entry
barriers are

removed

取消不必要的准入壁垒



2

More firms can
enter

更多企业能够进入市场



3

Competition puts
pressure on
costs

竞争促使企业降低成本



4

Less waste may
raise **efficiency**

减少浪费可能提高效率

Check

Which change illustrates deregulation?

- A** Selling a state-owned shop.
- B** Removing an unnecessary licence requirement for new shops.
- C** Paying a training subsidy.
- D** Building a new road.

Check

Which change illustrates deregulation?

- ☐ A Selling a state-owned shop.
- ☒ B Removing an unnecessary licence requirement for new shops.
- ☐ C Paying a training subsidy.
- ☐ D Building a new road.

Removing a regulatory requirement is deregulation. Selling state assets is privatisation.

A bakery has enough orders to hire two workers, but fears a costly dismissal if sales fall. Could easier dismissal create jobs?

Two bakers preparing bread beside a large oven in a working bakery

Yasin Onuş / Pexels

A bakery has enough orders to hire two workers, but fears a costly dismissal if sales fall. Could easier dismissal create jobs?

Possible answer

It may. Lower expected dismissal costs can make hiring less risky, so the bakery may take on workers now. But existing workers may lose job security, and easier dismissal can also increase job losses. The net employment effect depends on demand and how firms respond.

Employment protection in Germany

Workplaces with over 10 employees

超过10名雇员的工作单位

Dismissal normally requires a valid reason once an employee has six months' service.



France's dismissal reform

The 2017 reform

2017年改革

France capped many unfair-dismissal compensation awards, making dismissal costs more predictable.



Two bakers preparing bread beside a large oven in a working bakery

Yasin Onuş / Pexels

Effect of more flexible employment rules

更灵活的雇佣规则的影响

1

Dismissal costs
become more



解雇成本更可预见



2

Hiring becomes
less



招聘风险降低



3

Firms may recruit
more



企业可能招聘更多工人



4

More labour
employed can raise



雇用更多劳动力可提高产量

Effect of more flexible employment rules

更灵活的雇佣规则的影响

1

Dismissal costs
become more
predictable

解雇成本更可预见



2

Hiring becomes
less **risky**

招聘风险降低



3

Firms may recruit
more **workers**

企业可能招聘更多工人



4

More labour
employed can raise
output

雇用更多劳动力可提高产量

Effects of labour-market reform

Possible benefit 可能收益

Firms may find it easier to  workers.

Less wage pressure may reduce labour



Possible cost 可能代价

Easier dismissal may weaken job .

Weaker bargaining power may reduce worker



Effects of labour-market reform

Possible benefit 可能收益

Firms may find it easier to **hire** workers.

Less wage pressure may reduce labour **costs**.

Possible cost 可能代价

Easier dismissal may weaken job **security**.

Weaker bargaining power may reduce worker **protection**.

Is the employment effect certain?

- 1 Lower hiring costs guarantee more jobs even when firms have no customers.
- 2 Reducing trade union power may weaken workers' bargaining power.

Is the employment effect certain?

1 Lower hiring costs guarantee more jobs even when firms have no customers.

No

Recruitment also depends on demand for output.

2 Reducing trade union power may weaken workers' bargaining power.

Yes

Workers may find it harder to negotiate pay or conditions.

A private bus operator cuts costs by reducing staff and cancelling quiet routes. Who gains, and who might lose?

A red double-decker bus at night in London; an illustration for a hypothetical ownership case

0x010C / Wikimedia Commons / CC BY-SA 4.0; resized

A private bus operator cuts costs by reducing staff and cancelling quiet routes. Who gains, and who might lose?

Possible answer

Owners may earn more profit; passengers on busy routes may gain if savings reduce fares. Redundant workers lose income, and people on quiet routes may lose essential transport. Whether society benefits depends on the savings, service quality and protection for affected people.

Fill in the blanks

- 1 Market-based policies rely on prices, profit and .
- 2 A lower corporation tax can increase the incentive to .
- 3 Deregulation can reduce business costs and barriers to .
- 4 Privatisation transfers assets from the public sector to the  sector.

Fill in the blanks

- 1 Market-based policies rely on prices, profit and **competition** .
- 2 A lower corporation tax can increase the incentive to **invest** .
- 3 Deregulation can reduce business costs and barriers to **entry** .
- 4 Privatisation transfers assets from the public sector to the **private** sector.

Past paper questions

历年真题

1 Market-based supply-side policies

2 Past paper questions

Q3(a): Define privatisation. [2]

0455/21 • OCT/NOV 2024 • Q3(A)

PLAN YOUR ANSWER

1

What is transferred?

2

From whom to whom?

Write one precise definition before revealing the model.

Q3(a): Define privatisation. [2]

0455/21 • OCT/NOV 2024 • Q3(A)

MODEL ANSWER

Privatisation is the **sale or transfer** of assets from the **public sector** to the **private sector**.

Q4(b): Explain the difference between the private sector and the public sector. [4]

0455/23 • OCT/NOV 2024 • Q4(B)

PLAN YOUR ANSWER

1

Ownership 所有权

2

Purpose 目标

Compare both sectors in each part: who owns them, and what guides their decisions.

Q4(b): Explain the difference between the private sector and the public sector. [4]

0455/23 • OCT/NOV 2024 • Q4(B)

MODEL ANSWER

The private sector is owned and operated by **individuals or firms**. Their decisions are generally guided by self-interest, such as **earning profit**.

The public sector is owned and operated by the **government**. Its decisions are intended to improve the overall **welfare of society**, for example by keeping essential services affordable.

Q4(c): Analyse how a cut in the corporation (corporate income) tax rate can increase economic growth. [6]

0455/21 • MAY/JUNE 2025 • Q4(C)

PLAN YOUR ANSWER

1

Retained profit

2

Investment

3

Productivity and
capacity

4

Real output

Develop the links from a lower tax rate to higher real GDP.

Q4(c): Analyse how a cut in the corporation (corporate income) tax rate can increase economic growth. [6]

0455/21 • MAY/JUNE 2025 • Q4(C)

MODEL ANSWER

A cut in corporation tax allows firms to **keep more of their profit**. This increases the funds available for **investment** and the after-tax reward from investing, so firms may buy new machinery or adopt better technology.

Better capital equipment can raise **productivity** and **productive capacity**. Firms can then produce more goods and services, so **real GDP** and economic growth may increase if demand supports the extra output.

Q3(c): Analyse how supply-side policy measures could reduce unemployment. [6]

0455/22 • OCT/NOV 2023 • Q3(C)

PLAN YOUR ANSWER

1

Name a policy

2

Explain its effect on firms

3

Link to demand for labour

Use market-based measures from this lesson and explain why firms may employ more workers.

Q3(c): Analyse how supply-side policy measures could reduce unemployment. [6]

0455/22 • OCT/NOV 2023 • Q3(C)

MODEL ANSWER

Lower corporation tax lets firms keep more profit, which can finance **investment** and expansion. If firms increase output and need **additional labour**, they may recruit unemployed workers.

Deregulation can reduce compliance costs. **Lower costs** may allow firms to expand and afford more workers. More flexible hiring and dismissal rules can also make recruitment **less risky**, encouraging firms to offer jobs and reducing unemployment.

Q2(d): Discuss whether or not private sector firms are likely to charge lower prices than public sector firms. [8]

0455/22 • FEB/MAR 2023 • Q2(D)

PLAN YOUR ANSWER

1

Why prices may be lower

2

Why prices may be higher

3

A judgement with a condition

Develop both sides. Judge whether competition, costs or public subsidies matter most.

Q2(d): Discuss whether or not private sector firms are likely to charge lower prices than public sector firms. [8]

0455/22 • FEB/MAR 2023 • Q2(D)

MODEL ANSWER

Private firms facing **competition** may cut waste and invest in better equipment to **reduce costs**. They may pass these savings on through **lower prices** to attract customers and avoid losing sales to rivals.

However, a **private monopoly** may use its market power to charge high prices and maximise profit. Public firms may receive **subsidies**, allowing them to charge less, or deliberately keep prices low so essential services remain affordable.

Therefore, **private ownership alone** does not guarantee **lower prices**. **Lower prices** are more likely when **competition** is strong and efficiency savings reach consumers; a subsidised public provider may still charge less.

Exit ticket

离堂小测

- 1 Deregulation can reduce barriers to market .
- 2 Market-based policies use incentives rather than direct government .
- 3 Privatisation may increase efficiency but can reduce worker or consumer .
- 4 Lower taxes can reduce government tax .

Answer before leaving.

Exit ticket

离堂小测

- 1 Deregulation can reduce barriers to market **entry** .
- 2 Market-based policies use incentives rather than direct government **spending** .
- 3 Privatisation may increase efficiency but can reduce worker or consumer **protection** .
- 4 Lower taxes can reduce government tax **revenue** .

Answer before leaving.